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Debbie-Anne A. Reese, Acting Secretary
Federal Energy Regulatory Commission
888 First Street, NE
Washington, DC 20426

Re: Comments on Proposed Rulemaking on Establishment of Categorical Reasonable Period of Time for Action on Requests for Water Quality Certification Under Section 401(a)(1) of the Clean Water Act and Clarifying Types of Hydroelectric Project Proceedings That May Require Water Quality Certification
Docket No. RM24-5-000

Dear Acting Secretary Reese:

Hydropower Reform Coalition (“HRC”) submits these comments on the Proposed Rulemaking on Establishment of Categorical Reasonable Period of Time for Action on Requests for Water Quality Certification Under Section 401(a)(1) of the Clean Water Act and Clarifying Types of Hydroelectric Project Proceedings That May Require Water Quality Certification, Docket No. RM24-5-000 (June 6, 2022) in support of strengthening the role of states as the primary guardians of water quality under the authority delegated to states under the Clean Water Act (“CWA”). With the proposed rule, the Federal Energy Regulatory Commission (“FERC”) seeks to establish the reasonable period of time that states have to act on a request for certification that federally-licensed hydropower projects meet state water quality requirements and other appropriate requirements of state law. Additionally, these proposed rules address, in part, the applicability of Section 401 in licensing and relicensing, license exemption, license amendment, license surrender, and expedited licensing proceedings. With the proposed rule, FERC has the opportunity to empower local communities to play a meaningful role in protecting their right to clean, healthy, and productive waters through their implementation of new regulations promulgated by the Environmental Protection Agency (“EPA”) effective on November 27, 2023.

HRC is an association of over 160 national, regional, and local membership groups representing 1.5 million people across the country dedicated to enhancing the quality of rivers affected by hydropower projects, ensuring public access to these lands and waters, and reforming the federal licensing process to ensure public participation and to improve the quality of the resulting decisions. Since its founding in 1992, HRC’s member groups have intervened and participated in a majority of licensing proceedings before FERC. These groups are signatories to more than 200 comprehensive settlement agreements which, as the basis for new licenses, have

restored water quality, fisheries, and recreational access to thousands of miles of rivers and streams. HRC negotiated with the National Hydropower Association, federal and state agencies, and other opinion leaders in hydropower regulation to develop the concepts FERC adopted as the Integrated Licensing Process (ILP) in 2003. HRC and its members work throughout the country to protect healthy, free-flowing rivers and restore rivers that have been dammed, degraded, and dewatered through hydropower development.

Legal Background

Under the Clean Water Act, the States are “the ‘prime bulwark in the effort to abate water pollution,’ and Congress expressly empowered them to impose and enforce water quality standards that are more stringent than those required by federal law.” *Keating v. F.E.R.C.*, 927 F.2d 616, 622 (D.C. Cir. 1991) (quoting *U.S. v. Com. of Puerto Rico*, 721 F.2d 832, 838 (1st Cir. 1983)). To ensure the States were able to fulfill this primary responsibility of protecting water quality, Congress enacted Section 401 to fill a potential gap in the overall regulatory structure of the Clean Water Act—namely, federally licensed activities that may otherwise escape compliance with the requirements of state law to protect water quality. *S.D. Warren Co. v. Maine Bd. of Env’t Prot.*, 547 U.S. 370, 386 (2006) (“Changes in the river like these fall within a State’s legitimate legislative business, and the Clean Water Act provides for a system that respects the States’ concerns.”).

Through Section 401, the States have the right to review the potential impacts of proposed federally licensed projects that “may result in any discharge into the navigable waters” and the obligation to “set forth any effluent limitations and other limitations, and monitoring requirements necessary to assure that any applicant for a Federal license or permit will comply with any applicable [water quality requirements under the Clean Water Act] and with any other appropriate requirement of State law.” 33 U.S.C. § 1341(a)(1) & (d). And with respect to how the States use this authority, the Clean Water Act defers to States to establish “the water quality certification process.” *City of Fredericksburg, Va. v. F.E.R.C.*, 876 F.2d 1109, 1112 (4th Cir. 1989); *Appalachian Voices v. State Water Control Bd.*, 912 F.3d 746, 754 (4th Cir. 2019) (“State Agencies have broad discretion when developing the criteria for their Section 401 Certification”).

Section 401 requires a certification for any federally licensed or permitted activity that “may result in any discharge into the navigable waters.” The CWA defines the term “discharge,” when used without qualification, to “include[] a discharge of a pollutant, and a discharge of pollutants.” 33 U.S.C. § 1362(16). “[D]ischarge of a pollutant,” in turn, means “any addition of any pollutant to navigable waters from any point source.” *Id.* at § 1362(12). The CWA does not define the full scope of the term “discharge.” Instead, it provides that “[t]he term ‘discharge’ when used without qualification includes a discharge of a pollutant, and a discharge of pollutants.” 33 U.S.C. § 1362(16) (emphasis added).

The Act defines “discharge of a pollutant” and “discharge of pollutants” to mean “any addition of any pollutant to navigable waters from any point source.” *Id.* § 1362(12). A “point source” is “any discernable, confined and discrete conveyance . . . from which pollutants are or may be discharged.” *Id.* § 1362(14). The Act does not define the term “nonpoint source,” but the

Ninth Circuit has stated that "[n]onpoint sources of pollution are non-discrete sources; sediment run-off from timber harvesting, for example, derives from a nonpoint source." *Pronsolino v. Nastri*, 291 F.3d 1123, 1126 (9th Cir. 2002).

In 2006, a unanimous Supreme Court in *S.D. Warren* rejected the notion that “discharge” should be limited to only to “discharge of pollutants.” According to the Court, the term “discharge” presumably is broader, else superfluous, and since it is neither defined in the statute nor a term of art, we are left to construe it “in accordance with its ordinary or natural meaning.” 547 U.S. at 376. (quoting *FDIC v. Meyer*, 510 U.S. 471, 476 (1994)). “When it applies to water,” therefore, “‘discharge’ commonly means a ‘flowing or issuing out.’” *Id.* (citing Webster’s New International Dictionary 742 (2d ed. 1949)). The Court also rejected the dam operator’s argument that “discharge” should equate simply to a “discharge of a pollutant”— and thus require an addition of a pollutant from a point source to trigger the Section 401 certification requirement. 547 U.S. at 378–80. The dam operator had argued that “discharge” should be limited to the narrower definition of “discharge of a pollutant” based on the interpretive canon, *noscitur a sociis*. *Id.* The Court rejected this argument because it attempted to “extrapolate a common feature from what amounts to a single item.” *Id.* at 379–80. *S.D. Warren* thus confirms that the statutory language of the CWA means pollution caused by nonpoint sources is subject to Section 401.

In reaching this banal conclusion, *S.D. Warren* announces four principles that must now guide any approach to interpreting Section 401. First, the term “discharge” must be given its plain meaning, defined by the Supreme Court as a “flowing or issuing out” of water pollution. Second, cases interpreting section 402 are not particularly useful in interpreting Section 401, and accordingly, “discharge” must be broader than “discharge of a pollutant.” Third, the legislative history of the 1970 law that added “discharge” to the CWA is essential to understanding the proper scope of Section 401. Finally, the term “discharge” must be read and interpreted in light of the CWA’s purposes of preventing water pollution and retaining state authority to address pollution from federally permitted activities.

Under Section 401, an applicant for a federal license to conduct an activity resulting in a discharge into navigable waters must first obtain a certification from the certifying authority where the project is located. The applicant must ensure that it will comply with state water quality standards. Section 401 certifications contain conditions that must be included as articles in a FERC license lasting 30-50 years and typically include requirements for minimum instream flows along with other measures relating to its water quality standards. The conditions included typically recognize instream flow needs for river-based recreation that provide for the use and enjoyment of public waterways. States have one year to either grant, grant with conditions, or deny certification. If they fail to do so within that one-year period, they waive their rights, and the project can be licensed without certification that the project complies with state water quality standards.

The EPA promulgated new regulations effective November 27, 2023 replacing the 2020 rules promulgated by the prior administration and restoring the cooperative federalism that lies at the heart of the Clean Water Act and Federal Power Act statutory framework. The 2023 rules followed the U.S. Court of Appeals for the D.C. Circuit’s decision in *Hoopa Valley Tribe v.*

FERC, 913 F.3d 1099, 1105 (D.C. Cir. 2019), making clear that the one-year period under Section 401 will be strictly construed to prevent indefinite delay in licensing due to the sheer idleness of the certifying agency though agreement with the project applicant to withdraw-and-resubmit the certification application to grant the certifying agency additional time to act. While we do not dispute that there are egregious examples of delay due to “sheer idleness”, from our experience delay is more often the result of the failure of applicants to provide certifying agencies with sufficient information to demonstrate that proposed project will be operated in accordance with state water quality standards.

General Comments

Following the EPA’s promulgation of Section 401 regulations in 2023, FERC has notified states of the reasonable period of time to act on a certification request not to exceed one year from the date of application. Since the effective date of the new regulations, FERC has uniformly determined that the reasonable period of time will be one year from the date of application, the maximum amount of time allowed under Section 401(a)(1). The proposed rules establish a categorical reasonable period of time as one year from the date of application to the state for all hydropower projects triggering Section 401.

We support this proposed categorical one-year period of time for all hydropower projects requiring Section 401 certification. While EPA rules permit a default 6-month reasonable period of time for states to act on a certification request under Section 401 absent agreement between the certifying and federal agency, adopting a categorical one-year reasonable period of time will better serve the Clean Water Act and Federal Power Act purposes than a shorter period of time for hydropower power projects. Given that hydropower dams directly impact public trust resources by altering flows, damaging aquatic and terrestrial species, limit recreational opportunities, and other affected resources, establishing a one-year categorical reasonable period of time for certification is certainly appropriate. Perhaps counterintuitively, allowing states one year to act on certification requests will also serve the interests of licensees seeking to reduce delays and increase efficiencies in the licensing process. With more time for states to grant or condition certification requests, states are less likely to deny certification due to incomplete information being provided by the applicants.

State water quality certifying agencies typically participate in the hydropower licensing process by requesting studies to provide FERC with information necessary for its NEPA review of project effects and to complete its own environmental review, recommending preliminary conditions, and ultimately issuing, conditioning, or denying certification as part of the cooperative federalism that lies at the core of the Federal Power Act and Clean Water Act statutory framework. Under all FERC licensing processes (e.g., Integrated Licensing Process, Traditional Licensing Process, etc.), applicants for FERC licenses have 60 days to apply for water quality certification after FERC issues a Notice of Ready for Environmental Analysis under current FERC regulations.

States typically must determine whether projects meet state standards before FERC has completed its concurrent environmental review. Requiring dam owners to apply for Section 401 certification prior to FERC completing even a draft environmental analysis deprives Section 401

certifying agencies from utilizing FERC's environmental analysis in its own environmental review, needlessly burdening states with duplicate analysis, delaying the certification process, and increasingly, resulting in the denial of applications for certification without prejudice. Revising FERC regulations to require that license applicants file their applications for water quality certification 60 days after FERC completes its draft Environmental Assessment or Environmental Impact Statement ("DEA/DEIS") would lead to fewer licensing delays as states would be less likely to deny applications for certification if they had more complete information including FERC's environmental analysis. The proposed regulations do not address this concern.

FERC may exempt from licensing requirements certain small hydropower projects, which are 10 megawatts or less, that will be built at an existing dam, or projects that utilize a natural water feature for head or an existing project that has a capacity of 10 megawatts or less and proposes to increase capacity. Exempt projects are not subject to licensing every 30-50 years under Part 1 of the Federal Power Act but are subject to mandatory terms and conditions including conditions required by states and federal resource agencies. Current FERC regulations do not directly address the applicability of Section 401 to license exemptions. The proposed regulations address this concern by making clear that Section 401 applies to license exemptions, and we support this clarification.

Section 401 also applies to license surrenders; however, current FERC regulations do not directly address this issue. It is generally understood that a license surrender order requiring the removal of a dam resulting in the release of sediment will require Section 401 certification by the state where the discharge originates, but current regulations do not address this issue or other circumstances in which Section 401 certification is required at surrender including surrender orders not resulting in dam removal. The proposed regulations make clear that Section 401 is applicable to license surrenders generally, but do not address whether this requirement applies to all or only certain license surrenders, and if so, which ones.

The Commission's Project Decommissioning at Relicensing; Policy Statement (hereinafter "Decommissioning Policy Statement") applies a broad public interest standard to surrender, requiring the Commission to consider the "various public interests" that are implicated by decommissioning. The policy states that "the Commission should take appropriate steps to protect the public interest, which could include actions ranging from "simply shutting down the power operations to tearing out all parts of the project, including the dam, and restoring the site to its pre-project condition." The Decommissioning Policy Statement further states:

The Commission is of the opinion that implicit in the section 6 surrender provision is the view that a licensee ought not to be able simply to walk away from a Commission-licensed project without any Commission consideration of the various public interests that might be implicated by that step. Rather, the Commission should be able to take appropriate steps that will satisfactorily protect the public interests involved. See, *Erie Boulevard Hydropower, L.P., Saint Regis Mohawk Tribe*, 155 FERC P62,243, 64,628 (2016), citing *Arizona Pub. Serv. Co.*, 109 FERC P 61,036 at p 34 (2004).

Project Decommissioning at Relicensing; Policy Statement, 60 Fed. Reg. 339 (Jan. 4, 1995), 18 C.F.R. § 2.24.

The relationship between FERC's public interest standard and Section 401 remains unclear, and the new regulations bring little clarity to whether Section 401 is applicable to all or some license surrenders. As the recent failure of the FERC-exempt Rapidan Hydro Facility (FERC Project No. P-3701) in Minnesota so clearly demonstrates, abandoned and decaying hydropower dams have the potential to result in discharges of sediment and debris, pose a danger to public safety, and have ongoing effect on other aspects of environmental quality that subjected these projects to Clean Water Act requirements at the time of licensing or exemption.

The proposed regulations require that surrender applications be executed and filed in the same form and manner as license applications. FERC has no meaningful license surrender process other than providing the public with a 30-day notice to comment on a license surrender plan. By comparison, FERC's default Integrated Licensing Process requires scoping, development of study plans, extensive stakeholder engagement, completion of studies, filing of draft and final applications, completion of environmental review, and Section 401 certification.

The proposed regulations are a missed opportunity for FERC to clarify the applicability of Section 401 in the context of license surrender, and thereby provide greater predictability to stakeholders seeking to participate in surrender proceedings. It is important for FERC to develop a surrender process that provides greater public engagement and facilitates completion of studies sufficient to inform the Commission's NEPA analysis of alternatives to licensee surrender plans including consideration of dam removal alternatives proposed and supported by stakeholders and resource agencies. Providing a more detailed surrender process, including requirements for Section 401 certification, is in the public interest and would facilitate the orderly surrender of project licenses, more comprehensive consideration of dam removal than currently occurs, and restoration of rivers adversely impacted by project licenses and exemptions.

Requiring a surrender applicant to apply for Section 401 certification will serve the Clean Water Act and Federal Power Act purposes. States may grant a certification request without conditions or expressly waive their Section 401 authority where they are satisfied that the applicant's surrender and decommissioning plan meets state water quality standards. Recognizing the applicability of Section 401 in surrender proceedings incentivizes licensees and other parties to reach comprehensive settlement agreements with certifying authorities, resource agencies and other stakeholders to remove dams and restore rivers following surrender rather than dealing with regulatory uncertainty.

The proposed regulations also address the applicability of Section 401 to certain license amendments having a "material adverse impact on the water quality in the discharge from the project or proposed project." For example, a capacity amendment seeking an increase in the discharge from turbines triggers Section 401, as would an increase in the height of a dam. The applicability of Section 401 to other license amendments is less clear. The proposed regulations appear to limit the applicability of Section 401 to license amendments resulting in material changes that have adverse impacts rather than only material changes to the plans of development.

The limitation to only those material adverse impacts on water quality resulting from the discharge raises a host of concerns that implicate established Supreme Court precedent. For

example, it is far from clear whether a license amendment to install a bitcoin farm adjacent to a powerhouse would trigger Section 401, a growing trend at hydroelectric facilities, that would require that FERC determine whether the amendment is material, whether there are adverse impacts (e.g., sound), whether those impacts are broadly defined as the activity as a whole as required by *PUD No. 1 of Jefferson Cnty v. Washington Dep't of Ecology*, 511 U.S. 700 (1994), and whether those impacts result from the discharge as required by *S. D. Warren*, 547 U.S. at 376.

The proposed regulations also include revisions to federal regulations dealing with the Expedited Licensing Process for certain non-powered dams and closed-loop pumped storage projects. These revisions include a requirement that the applicant apply for Section 401 certification, or provide evidence of waiver, within 60 days of filing an application under the Expedited Licensing Process. Requiring application under Section 401 prior to a FERC determination that the application is complete and ready for environmental analysis, much less the completion of FERC's own environmental assessment, will result in greater delay undermining the purpose of the Expedited Licensing Process because states will lack complete information and likely deny certification applications that fail to demonstrate compliance with state water quality standards. Consistent with our recommendation on the timing of requiring evidence of Section 401 application in the regular licensing processes, we recommend that the proposed regulations be revised to require the application once FERC issues a draft license, or at the very least, when FERC issues its own draft environmental assessment.

Specific Comments

A. 18 C.F.R. § 4.34(b); Timing of Request for Certification and Reasonable Period of Time

HRC strongly supports the proposal to establish the default “reasonable period of time” the certifying authority has to review a request for certification as one year from receipt. Generally, the projects under review in these circumstances are complex. They will require careful, thoughtful analysis to ensure they are designed and operated in a manner that is consistent with state law. To allow for this critical review, it is appropriate for FERC to give the states the time necessary, as allowed under the Clean Water Act.

However, to this same end, the HRC recommends FERC takes this opportunity to tie the requirement for an applicant to submit a request for a certification to issuance of a draft license, or draft Environmental Assessment or draft Environmental Impact Statement, prepared under the National Environmental Policy Act (“NEPA”), rather than FERC's issuance of the notice of ready for environmental analysis (“REA”). Requiring the applicant to submit the certification within 60 days of the REA has led to unnecessary delay and burden on the applicants and state agencies. That is, by waiting until FERC has produced an initial draft of the NEPA documents that it ultimately needs to make its final decision on the license or permit application before requiring the applicant to start the Section 401 certification review process (and clock), it can take an important step towards ensuring the certification review occurs at the appropriate phase of its review. Doing so can ensure the states, tribes, EPA, and the public have the information necessary to conduct the certification process as Congress intended.

While we understand that it is not FERC's *current* process to develop a draft license for public review, doing so and then tiering a request for certification off the production of that document will ensure that the certifying authority is provided with a key piece of information necessary to determine whether the project will comply with the applicable water quality requirements and other appropriate legal requirements—namely, the terms and conditions the federal agency has proposed. Working from there, the certifying authority will be able to know what terms and conditions it will need to impose to meet the applicable standard. We believe this will save the certifying authority both time and resources because it will not need to guess what FERC may require of the applicant in the final license.

In addition, moving the certification review back in the licensing process until after FERC develops a draft license will likely mean that the certifying authority will have access to additional information developed through the permitting process. That is, any information that FERC develops or receives from the applicant as it writes the draft license will necessarily be part of the information transmitted to the certifying authority as “existing and readily available data or information related to potential water quality impacts from the proposed project.” 40 C.F.R. § 121.5(a)(1)(ii). This change will put the onus where it belongs: on the project proponent to ensure it has provided all of the existing information that may aid in the review of the project to both FERC and, subsequently, to the certifying authority. While we understand that this would require a change in FERC's licensing approach, such a change is both permissible and will ultimately lead to greater efficiency and transparency in both the Section 401 certification process and FERC's overall licensing process.

Absent making that change to its licensing process, FERC should, at the very least, use the issuance of a draft EA or EIS as the triggering event for the requirement to request a Section 401 certification. The NEPA process provides critical information on the scope and impacts of the project, explains the alternatives FERC has considered, and highlights the environmental impacts of those alternatives and the path chosen. This information, in this form, is critical to both the certifying authorities and the public as they consider whether the project is consistent with state water quality requirements and other appropriate requirements of state law. Without this information, as developed and cataloged through the NEPA process, the certifying authority is required to reinvent the wheel by reviewing the application material provided by the applicant, requesting more information when necessary, and guessing what FERC may or may not be considered in terms of final licensing requirements or alternatives.

The public, on the other hand, is left largely in the dark as it tries to weigh in on these projects through the states' various notice and comment procedures and oftentimes lacks critical information to engage in a meaningful way. Thus, by moving the requirement to request a certification to later in the application process, after the majority of the environmental review is complete at the federal level, the process will likely be fairer and more transparent. This ultimately will benefit the public, the state, FERC, and the applicants with a more efficient process.

B. 18 C.F.R. § 5.23; License Amendments

Current regulations are unclear as to when a Section 401 is required for license amendments. As a result, HRC strongly supports the changes in the regulatory language that make this requirement explicit. Specifically, FERC should require a Section 401 whenever a licensee seeks to amend their license under 18 C.F.R. §4.200 in order to:

(a) Make a change in the physical features of the project or its boundary, or make an addition, betterment, abandonment, or conversion, of such character as to constitute an alteration of the license;

(b) Make a change in the plans for the project under license; or

(c) Extend the time fixed in the license for commencement or completion of project works.

A license amendment that would alter or affect any provision in an existing Section 401 would necessarily trigger a new Section 401 requirement, as would any amendment that would otherwise fall within the penumbra of the state's Section 401 authority.

However, FERC's proposed regulations fall short in two important ways. First, as discussed above, the proposed regulations require the applicant to submit its request for a certification too early in the review process. Rather, FERC should tie the timing of the certification request deadline to its issuance of a draft amended license and/or releasing its draft NEPA document. Again, doing so would allow the certifying authority and the public to understand precisely what FERC is proposing and benefit from its analysis of the environmental impacts of that proposed action and the alternatives it considered.

Second, limiting the requirement for a Section 401 certification to only those license amendments that will result in a "material adverse impact on the water quality in the discharge from the project or proposed project" is inconsistent with the letter and intent of the Clean Water Act. The Clean Water Act is clear that the applicant for a federal license "to conduct *any activity* including, but not limited to, the construction *or operation of facilities*, which may result in any discharge into the navigable waters, shall provide the licensing or permitting agency a certification from the State." 33 U.S.C. § 1341(a)(1) (emphasis added). An amended license, of any kind, falls easily within this broad mandate. Of course, to the extent that the license amendment does not result in any adverse impacts that may cause or contribute to a violation of state water quality requirements or other appropriate state laws, there may be little or nothing for the certifying authority to do. But the determination of whether there are potential impacts, and what additional terms and conditions may be necessary to address those impacts is a decision that must be left to the certifying authority, as Congress intended.

C. 18 C.F.R. § 6.1; Surrender

- *Surrender: Same Form and Manner:*

The rule carries over the same language as in section 6.1 requiring that surrender applications be in the same form and manner as license applications. These requirements for license applications are specified under 18 C.F.R. § 5.18 and require the surrender applicant to provide: (a) *General content requirements*; (b) *Exhibit E—Environmental Exhibit*; (c) *Exhibit H*; (d) *Consistency with comprehensive plans*; (e) *Response to information requests*; (f) *Maps and drawings*. Among the requirements for the Exhibit E – Environmental Exhibit is the requirement that an applicant comply with applicable laws including Section 401 of the Clean Water Act, as follows:

(i) *Section 401 of the Clean Water Act*. The applicant must file a request for a water quality certification (WQC), as required by Section 401 of the Clean Water Act no later than the deadline specified in § 5.23(b). Potential applicants are encouraged to consult with the certifying agency or tribe concerning information requirements as early as possible.

FERC's current practice is to not require surrender applicants to obtain Section 401 Certification, notwithstanding current regulations, unless, reportedly, a state asserts its Section 401 authority during the surrender process. Neither current or proposed regulations address whether a state's assertion of Section 401 authority or FERC's determination of whether there will be a continued discharge following surrender is the controlling factor in deciding whether a surrender applicant is required to obtain Section 401 certification prior to FERC's issuance of the surrender order.

- *Surrender: Ongoing Discharges*

In several cases, FERC surrender orders have not even addressed or made a direct finding as to the applicability of Section 401. *See, e.g., Order Approving Surrender of License re Aclara Meters, LLC under P-3820*, May 22, 2023 (Accession No. 20230522-3008). For example, in issuing its Surrender Order in Somersworth, the Commission failed to fully consider whether the applicant's proposed decommissioning plan, which included continuing water withdrawals and discharges from gate structure, project dams and an associated canal diversion should trigger the applicant's obligation under Section 401 to request certification from the states of Maine and New Hampshire. It was not until addressing arguments raised on rehearing, that the Commission concluded that certification requirement under Section 401 did not apply because the Surrender Order did not authorize a "new discharge" but rather allowed for the continuation of an existing discharge allowed under the FERC license being surrendered. *Order Addressing Arguments Raised on Rehearing re Aclara Meters, LLC's Somersworth Hydroelectric Project under P-3820*, September 21, 2023 (Accession No.: 20230921-3049).

FERC's conclusion that Section 401 was inapplicable to the surrender order is flawed because it relied on the outcome of the surrender order to justify not requiring the applicant to request certification, or even consult with the states regarding the need for a certification, when it filed its application for license surrender even though its application proposed ongoing project discharges. Nothing in Section 401 supports FERC's conclusion that Section 401 applies only to new federal authorizations for projects that result in different discharges, and the Surrender Order in Somersworth fails to cite to any authority that limits the applicability of Section 401

only to new discharges. *See generally S.D. Warren*, 547 U.S. at 386 (“Changes in the river like [those caused by dams] fall within a State's legitimate legislative business, and the Clean Water Act provides for a system that respects the States' concerns.”). FERC’s narrow interpretation that Section 401 is only applicable to new discharges would limit the ability of states to ensure that federally-licensed hydropower projects meet state water quality requirements at surrender, and potentially, any relicensing that proposed no change in operations of the licensed project.

FERC’s proposed regulations essentially sidestep the issue of when Section 401 certification is required at license surrender with the caveat “For any surrender that requires certification under Section 401(a)(1) of the Federal Water Pollution Control Act (Clean Water Act)....” FERC should clarify that all surrender applications require an applicant to apply for Section 401 certification where the applicant’s decommissioning proposal includes a continuing or new, “discharge into the navigable waters.” Again, as discussed above, Congress intended for Section 401 to apply to “any activity” that both requires federal approval and that may result in a discharge to navigable waters. The surrender of a license is such an activity. Requiring a surrender applicant to request certification will provide the certifying authority the opportunity to condition any surrender order on measures it determines are necessary to restore the quality of waters occupied or otherwise impacted by a project to a satisfactory condition.¹ FERC should revise the proposed regulations to clarify that the applicant is required to request certification from the relevant certifying authority at surrender.

D. 18 C.F.R. § 7.2; Expedited Licensing Process

As discussed above, although it may seem paradoxical at first blush, delaying the timing of a Section 401 certification request until later in the application process will likely lead to greater efficiency and fewer delays in the FERC licensing process. This is equally true in the expedited licensing process. As a result, HRC recommends that FERC take this opportunity to ensure that the requirement for an applicant to request a Section 401 certification comes at a time in the process when the certifying authority and the public can both be certain about the scope and impacts of the actions FERC is proposing to take, and they have the information necessary to assess whether those actions will be consistent with state water quality requirements and other appropriate requirements of state law. To this end, HRC suggests that FERC amend its proposed regulations governing the expedited licensing process to require that the application request a certification only after FERC has issued a draft license or its draft NEPA analysis. The proposed requirement that the application submit its certification request within sixty days after the application for expedited licensing process places the request far too early in the application process. This is true even with the consultation requirement in 18 C.F.R. § 7.2(b)(1). That process, although laudable, is insufficient to ensure the certifying authority and, more importantly, the public will have the information necessary to review and consider the certification application properly.

¹ FERC has similarly recognized the role and authority of federal agencies to condition a surrender order for a project located on federal lands as necessary to restore those lands: “Where project works have been constructed on lands of the United States the licensee will be required to restore the lands to a condition satisfactory to the Department having supervision over such lands and annual charges will continue until such restoration has been satisfactorily completed.” 18 C.F.R. § 6.2

Finally, HRC supports the FERC’s proposal to establish one year as the reasonable period of time for the certifying authority’s review of the request for certification. Again, these projects are likely complex and require time to review and consider. FERC can help facilitate the expeditious review at the state and tribal level by ensuring that the applicant provides FERC, certifying authority, and the public the information necessary to conduct a meaningful analysis of these projects under Section 401.

E. Proposed Amendment to 18 C.F.R. § 7

The HRC supports the proposed amendment to § 7.7 to require the applicant to request and provide to FERC a new decision from the certifying authority if the applicant proposed amendments to the project after the initial certification request has been submitted. However, FERC’s proposed rule is too limited in at least two ways. First, consistent with the D.C. Circuit’s recent decision *Brookfield White Pine Hydro LLC v. FERC*, the Commission must require the applicant to submit a new Section 401 Certification application any time it proposes changes “materially affect[] its ability to meet” the water quality requirements or other requirements of state law that serve as the basis for Section 401 certification decision. 2024 WL 3311809, at *3 (D.C. Cir. July 5, 2024). Thus, FERC’s proposed language, limiting the requirement to only those instances where the proposed changes would have “a material adverse impact on the water quality in the discharge from the proposed project,” is far too limited. As the D.C. Circuit noted the Environmental Protection Agency previously stated, “if certain elements of the proposed project (e.g., the location of the project or the nature of any potential discharge that may result) change materially after a project proponent submits a certification request, it may be reasonable for the project proponent to submit a new certification request.” *Id.* (quoting 85 Fed. Reg. 42,210, 42,246-42,247 (July 13, 2020)). Thus, requiring a new application for certification for any “material change” to the proposed project, “fairly balances the provision’s dual goals ‘to prevent States from delaying federal projects by taking no action on certification requests,’ and ‘to assure that Federal licensing or permitting agencies cannot override State water quality requirements.’” *Id.* (quoting *N.C. Dep’t of Env’tl. Quality v. FERC*, 3 F.4th 655, 670 (4th Cir. 2021)).

In addition, FERC should also make clear that the state’s deadline for reviewing and acting on the new application also resets and that the default “reasonable period of time” should be one year. While this additional regulatory language should not be necessary because “the one-year clock will not apply to requests that are sufficiently different from the initial submission that started the clock ticking,” *see id.*, for the sake of clarity, FERC should make this deadline clear in its regulations.

Conclusion

The Hydropower Reform Coalition appreciates the opportunity to provide these comments and respectfully requests that the Commission revise the Proposed Rulemaking to address the concerns raised by the coalition in these comments.

Respectfully submitted by:

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